

Calendar Line 4

Case Name: *Elizondo v. California Casualty Ins. Co.*

Case No.: 24CV454683

On December 17, 2025, the Court [Hon. Pennypacker] sustained defendant California Casualty Indemnity Exchange’s (“Defendant”) demurrer to the first amended complaint (“FAC”) with leave to amend on the ground that it failed to state facts sufficient to constitute a cause of action because it was barred by the statute of limitations. While plaintiff Nancy Elizondo (“Plaintiff”) contended that “the last wrongful act did not occur until May 24, 2024, when the arbitration award as reduced to a judgment in the superior court... [and that] ‘the parties were still briefing the issues well into 2023’ and CCIE’s actions in seeking to confirm the arbitration award were also made in bad faith and are part of the continuing violations”; however, the court noted that “the FAC does not allege any wrongful act occurring after November 8, 2022.” (December 17, 2025 order re: demurrer to FAC, p.5.) Indeed, the FAC alleged that “[o]n August 10, 2020, plaintiff ELIZONDO issued a demand to CCIC for settlement of plaintiff’s claims for \$200,000, or the policy limit for underinsured motorist coverage through plaintiff’s CCIC Policy... [however, i]n response, defendant CCIC denied ELIZONDO’s claims for injury and damage pursuant to the CCIC Policy.” (FAC, ¶ 15.)

On January 15, 2026, Plaintiff filed a second amended complaint (“SAC”), asserting the prior first two causes of action for breach of the implied covenant of good faith and fair dealing and intentional infliction of emotional distress and a new cause of action for negligence. The SAC newly alleges that “Plaintiff proceeded with the entire arbitration process, through its final conclusion, that involved post-decision motions and requests for costs by the parties. Indeed, the

final order in the arbitration matter was issued on May 24, 2024, when the Superior Court for the County of Santa Clara confirmed the judgment on the arbitration award.” (SAC, ¶ 21.)

There is no dispute that the applicable statute of limitations as to the SAC’s causes of action is two years. (See Pl.’s opposition to demurrer (“Opposition”), p.11:9-10 (stating that “the plaintiff brought suit within the applicable two-year statute of limitations”).) Rather, parties dispute as to whether the cause of action accrues on the May 24, 2024 arbitration award date or Defendant’s conditional denial of Plaintiff’s claim may constitute the date of accrual for each of the causes of action and whether the doctrine of equitable tolling applies. Defendant asserts that the

As stated in *Bennett v. Ohio National Life Assurance Corp.* (2023) 92 Cal.App.5th 723, “[t]he statutes of limitation ‘dictate the time period within which a cause of action may be commenced... [b]ut the statutes of limitation ‘do not begin to run until a cause of action accrues.’” (*Id.* at pp.728-729, quoting *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806.) “Generally, a cause of action accrues when it is ‘complete with all of its elements.’” (*Id.* at p.729.) “Where damages are an element of a cause of action, the claim ‘does not accrue until the damages have been sustained.’” (*Id.*) “Under these principles, claims for breach of contract and bad faith regarding disability insurance payments do not accrue until there is a breach and the plaintiff sustains damages.” (*Id.*) Rather, a cause of action for breach of the covenant of good faith and fair dealing accrues when the insurer withholds benefits pursuant to the policy or issues an unequivocal denial in writing; in contrast, when the insurer continues to provide benefits despite a denial of the insured’s claim, the cause of action has not yet accrued. (*Id.* at pp.730-732; see also *Prieto v. State Farm Fire & Casualty Co.* (1990) 225 Cal.App.3d 1188, 1194 (stating that “the claim for bad faith in denial of the accidental death benefit did not accrue until the insurer formally rendered its denial... ‘[p]rior to such time Mrs. Frazier has a right (so far as the policy limitation is concerned) to sit back and wait until denial of claim before urging bad faith’”); see also *Carr v. Progressive Casualty Ins. Co.* (1984) 152 Cal.App.3d 881, 889 (stating

that a “bad faith cause of action does not accrue until suit may be brought and such a suit ‘may not be brought until the action between the injured party and the insured is concluded’”); see also *Migliore v. Mid-Century Ins. Co.* (2002) 97 Cal.App.4th 592, 604 (stating that “[t]he statute is tolled from the time the insured gives notice of the claim to the insurance company until ‘the time the insurer formally denies the claim in writing’ ... [t]his has been construed to mean ‘unequivocal’ denial in writing”).)

The SAC alleges that while Defendant denied Plaintiff’s demand, Defendant also conditioned any rights to receive the benefits pursuant to the policy on Plaintiff’s participation in arbitration so as to resolve any issue. This is not an unequivocal denial in writing. Defendant cites to *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136; however, the cited page of *Love* is inapposite. It is true that, as *Love* states, that “[w]here benefits are fully and promptly paid, no action lies for breach of the implied covenant—no matter how hostile or egregious the insurer’s conduct toward the insured may have been prior to such payment.” (*Love, supra*, 221 Cal.App.3d at pp.1151-1152.) However, in *Love*, the court determined that there was no bad faith because the plaintiff’s claims to benefits were already time-barred and thus, benefits were neither withheld nor delayed. (*Id.*) Here, Plaintiff’s claims to benefits were not time-barred. Defendant also cites to a federal case to support its assertion that a cause of action accrues regardless of whether arbitration has occurred (see Def.’s memo p.7:10-18); however, as the December 17, 2025 order noted, this court is “not bound by federal decisions on matters of state law.” (*Haynes v. EMC Mortgage Corp.* (2012) 205 Cal.App.4th 329, 335.) In reply, Defendant also cites to *McIsaac v. Foremost Ins. Co. Grand Rapids, Michigan* (2021) 64 Cal.App.5th 418, to support its argument that the arbitration cannot toll the limitations period for the bad faith claim because the arbitration and bad faith action involve different rights and remedies; however, *McIsaac* did not discuss the doctrine of equitable estoppel at all. The doctrine of equitable tolling has otherwise applied to the statute of limitations for a subsequent bad faith insurance claim. (See *Prudential-LMI Com. Insurance v. Super. Ct. (Lundberg)* (1990) 51 Cal.3d 674, 692-693 (California Supreme Court); see also *Saint Francis Memorial Hospital v. State Dept. of*

Public Health (2020) 9 Cal.5th 710, 725-726.) Defendant fails to otherwise support its assertion that the arbitration neither tolls the statute of limitations nor affects the accrual of a cause of action.

Defendant's demurrer to each of the causes of action of the SAC on the ground that they fail to state facts sufficient to constitute a cause of action because they are time-barred is **OVERRULED**. Defendant fails to demonstrate Plaintiff's causes of action accrued before the May 24, 2024 arbitration award date or that the doctrine of equitable estoppel applies to the arbitration proceedings.

Plaintiff shall prepare and submit a proposed final order consistent with this tentative ruling.

Calendar Line 6

Case Name: *Kumar v. County of Santa Clara, et al.*

Case No.: 25CV474000

Defendant County of Santa Clara, erroneously sued as Office of Supportive Housing ("County"), demurs to each of the causes of action of the first amended complaint ("FAC") of plaintiff Ravnir Kumar ("Plaintiff") on the ground that they fail to state facts sufficient to constitute a cause of action.

As County notes, Government Code section 911.2 requires that a claim related to a plaintiff's injury to his or her person or personal property be filed "not later than six months after the accrual of the cause of action." (Gov. Code § 911.2.) The FAC alleges a number of acts that Plaintiff contends could be a basis for a cause of action—an August 2022 promise by County's